



United States
Attorney's Office
Eastern District of California



Fresno-Based Community Health System Agree to Pay \$31.5 Million to Resolve Allegations of False Claims Act Violations

Wednesday, May 14, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of California

Community Health System and its affiliate Physician Network Advantage Inc. have agreed to pay \$31.5 million to the United States to resolve allegations that they violated the False Claims Act based on financial benefits provided to referring physicians, Acting U.S. Attorney Michele Beckwith announced today. Community Health System operates in Fresno County and includes hospitals Community Regional Medical Center and Clovis Community Medical Center.

"We cannot allow medical decisions to be distorted by kickback schemes or efforts to buy physicians' loyalty with lucrative side perks," said Acting U.S. Attorney Beckwith. "This settlement demonstrates this Office's commitment to ensuring that patients' best interests remain paramount."

The civil settlement announced today resolves allegations that Community Health System and Physician Network Advantage Inc. (PNA) provided several types of extravagant benefits to induce physicians in the Fresno area to refer their patients to Community facilities for medical services, in violation of the False Claims Act. PNA is a health care technology business formed and funded by Community to support Fresno-area physicians' adoption of the electronic health records platform used by Community. The United States contends that PNA also played a key role in securing business for Community by unlawful means. In a custom-built lounge located on premises at PNA's offices, known as HQ2, PNA provided expensive wine, liquor, cigars, and meals to referring physicians, with the knowledge and funding of Community.

The settlement also resolves allegations that Community and PNA provided financial subsidies for electronic health records technology and equipment used by certain physicians in their private offices in return for the referral of governmental health care program patients to Community. Further, the settlement resolves allegations that Community paid bonuses to certain physicians ostensibly for

participation in clinical integration activities, when the real purpose of the bonuses was to reward referrals.

The United States contends that these financial benefits violated the federal Anti-Kickback Statute, resulting in false claims for the medical services referred by physicians receiving the benefits, that were submitted to governmental health care programs. The United States also contends that the conduct described above created financial relationships with referring physicians under the Physician Self-Referral Law (known as the "Stark Law"). The Stark Law seeks to safeguard the integrity of the Medicare program by prohibiting a hospital from billing for certain services referred by physicians with whom the hospital has a financial relationship, unless that relationship satisfies one of the law's statutory or regulatory exceptions, which the United States contends were not met.

"Kickback arrangements aimed at improperly influencing medical decisions will remain a top investigative priority for our agency," said Acting Special Agent in Charge Robb R. Breeden of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "This settlement demonstrates HHS-OIG's commitment to identifying and holding accountable those who engage in unlawful financial relationships at the expense of Medicare patients and the taxpayer."

In connection with the settlement, Community entered into a five-year Corporate Integrity Agreement with HHS-OIG that requires, among other conditions, the implementation of a risk assessment and internal review process designed to identify and address evolving compliance risks. The Corporate Integrity Agreement also requires an independent review organization to annually assess the policies and systems to track arrangements with some referral sources.

The settlement includes the resolution of claims brought under the *qui tam* or whistleblower provisions of the False Claims Act by relator Michael Terpening. Under those provisions, a private party can file an action on behalf of the United States and receive a portion of any recovery from that action. The *qui tam* case is captioned *United States ex rel. Terpening v. Fresno Community Hospital and Medical Center, et al.*, 1:19-CV-01699 (E.D. Cal.). As part of the settlement announced today, Mr. Terpening will receive approximately \$5 million.

The resolution obtained in this matter was the result of a coordinated effort between the U.S. Attorney's Office for the Eastern District of California and HHS-OIG with assistance from the Federal Bureau of Investigation and the U.S. Postal Service Office of Inspector General. Assistant U.S. Attorney David Thiess handled the case for the U.S. Attorney's Office.

The claims resolved by this settlement are allegations only, and there has been no determination of liability.

Note: View the settlement here.

[2025.05.07 executed copy chs and pna settlement.pdf](#)

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